Kappa Foundation | Initial Decision Record

Decision date and information cutoff: 31 December 2022

Policy basis and frozen implementation rules

Decision	Historical decision date and information cutoff	2022-12-31; no information after 2022-12-31 used for the initial policy
Mandate	Initial capital	USD 12,000,000; no other assets, liabilities or committed donations assumed
Mandate	Mandatory payments	USD 2,400,000 on 31-Dec-2024 and USD 3,600,000 on 31-Dec-2027
Universe and data	Candidate universe	10 US common stocks across 7 sectors; SPY (broad US large-cap) and IWM (US small-cap) ETFs: AAPL, MSFT, JPM, JNJ, PG, HD, CAT, CVX, KO, WMT, SPY, IWM
Universe and data	Estimation window	Jan-2015 to Dec-2022; 95 common monthly observations (Feb-2015 to Dec-2022)
Universe and data	Growth benchmark	SPY
Funding and allocation	2024 scholarship reserve	Beta 2-year zero-coupon; initial cost USD 2,214,672.00; contractual payment USD 2,400,000
Funding and allocation	2027 learning-centre reserve	Delta 5-year coupon bond; initial cost USD 3,021,150.64; ring-fence coupons at 0% base reinvestment to fund USD 3,600,000
Funding and allocation	Total liability reserve	USD 5,235,822.64
Funding and allocation	Growth budget before implementation cost	USD 6,764,177.36
Growth decision	Recommended strategy and risk model	Utility_SingleIndex; mean-variance utility with single-index covariance and CAPM-style expected returns
Growth decision	Selection evidence	At A=4, expected return 11.01%, volatility 16.30%, utility 0.0570.
Growth decision	Credible rejected alternative	Eta_Historical_MaxSharpe; common-lens expected return 9.33%, volatility 14.94%, utility 0.0487; lower A=4 utility than the recommendation
Growth decision	Effect of risk aversion on allocation	Single-index: A=2 return/volatility 12.48%/18.96%; A=4 11.01%/16.30%; A=8 8.01%/12.32%.
Material assumptions	Real-value objective and base inflation	USD 8,000,000 in December-2022 dollars; 2.50% annual inflation
Material assumptions	Nominal 2030 target	USD 9,747,223.18 = USD 8,000,000 x (1 + 0.025)^8; planning target, not a guarantee
Material assumptions	Risk preference	A=4; risk-aversion comparison at A=[2, 4, 6, 8] under both risk models.
Material assumptions	Risk and implementation constraints	Long-only and fully invested growth sleeve; stock cap 15%, ETF cap 35%; no borrowing, short selling or derivatives; equity one-way trading cost 0.10%
Material assumptions	Trustee loss concern	Losses approaching 15%; horizon and metric unspecified, therefore diagnostic rather than a hard optimization constraint
Evaluation and governance	Evaluation window and comparator	Jan-2023 to Dec-2025; compare frozen Utility_SingleIndex with frozen SPY
Evaluation and governance	Rebalancing and information rule	Annual 31-Dec rebalance after any scheduled liability payment, back to original growth target weights; no re-estimation or re-optimization during evaluation
Evaluation and governance	Rebalancing transaction cost	0.10% one-way on traded notional

Initial allocation | USD 12,000,000

Dollar amounts and fund weights follow the notebook's full allocation.

Sleeve	Security / use	USD	% fund	Role
2024 liability	Beta	2,214,672.00	18.46%	Fund 31-Dec-2024 scholarship payment
2027 liability	Delta	3,021,150.64	25.18%	Fund 31-Dec-2027 learning-centre payment
Growth	AAPL	206,871.93	1.72%	Pursue 2030 real-value objective
Growth	MSFT	267,236.61	2.23%	Pursue 2030 real-value objective
Growth	JPM	443,100.42	3.69%	Pursue 2030 real-value objective
Growth	JNJ	363,596.29	3.03%	Pursue 2030 real-value objective
Growth	PG	140,738.42	1.17%	Pursue 2030 real-value objective
Growth	HD	294,255.15	2.45%	Pursue 2030 real-value objective
Growth	CAT	155,144.96	1.29%	Pursue 2030 real-value objective
Growth	CVX	202,426.59	1.69%	Pursue 2030 real-value objective
Growth	KO	160,319.39	1.34%	Pursue 2030 real-value objective
Growth	WMT	236,397.85	1.97%	Pursue 2030 real-value objective
Growth	SPY	2,365,096.98	19.71%	Pursue 2030 real-value objective
Growth	IWM	1,922,235.33	16.02%	Pursue 2030 real-value objective
Implementation	Initial trading cost	6,757.42	0.06%	0.10% one-way cost on initial growth purchases

Total use of capital: USD 12,000,000.00